Daiwa Capital Markets Hong Kong Limited

Global Technology

Let's talk about AI, ASIC competition this time

- We dismiss concerns of share losses for Broadcom and MTK from Marvell's recent AI deal structured with Google for 2 reasons…
- … 1) We expect the AI ASIC TAM to grow fast and big enough; and 2) we see incumbents diversifying their customer bases
- Broadcom and MTK remain our top picks in Daiwa's global fabless semiconductor sector coverage

Negative | Neutral | Positive

Positive
(unchanged)

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What's new: Marvell filed a *Form 8-K* on 19 August aimed at structuring a deal with Google for a potential AI business up to USD120bn. While this move raises investor concerns on share losses at Broadcom and MediaTek (MTK), we see limited impacts during our forecast horizon for 2 reasons: 1) we expect total addressable market (TAM) of the AI ASIC to grow fast and big enough to accommodate multiple players; and 2) incumbents are diversifying customer bases from CSP to enterprises. Under our global fabless chipmaker coverage, Broadcom (rated Buy [1] with 12M TP of USD500) and MTK (rated Buy [1] with 12M TP raised to TWD5,200) remain our top picks best positioned to capture the multi-year AI ASIC cycle.

What's the impact: **TAM big enough.** In our *July 2025 series* of AI thematic reports, we expected the ASIC market to outgrow GPU as the compute architecture migrated from data training to inference. We further raise our global AI HPC market forecasts here, driven by stronger-than-expected AI ASIC demand. Specifically, we expect the AI ASIC TAM to exceed USD110bn in 2028E for a CAGR of c.80% over 2025-28E (see p.3 for more details), fast and big enough to accommodate multiple players.

Implications to Broadcom. Marvell's action may raise concerns of taking share away from Broadcom in the networking market, followed by compute in the xPU market. While we share these concerns, Google is no longer Broadcom's sole customer. Google (incl. Anthropic) will account for c.45% of Broadcom's AI revenue this FY (c.70% in FY25), on our estimates, with the rest from 2 other customers. We further expect Broadcom to diversify its customer base to 6-7 clients, helping reduce any single-customer risk.

Implications to MTK. Similar concerns could be raised for MTK, yet we see limited impacts at least during our forecast period since: 1) MTK is a latecomer in the Google AI ASIC supply chain, according to our market research, with the first project just about to ramp from 4Q26 which should run through its life cycle into 2028; and 2) we believe MTK has secured the second project aimed to ramp from late-2027 which should run its course into 2029. We believe MTK is further expanding its customer base to another CSP with the first project aimed to ramp from 2H28.

What we recommend: In our global fabless coverage, our top picks go to Broadcom and MTK, as we see the two as best positioned with scale and resources to capitalise on the AI ASIC trend. Key downside risks are "silicon inflation" and geopolitics leading to global inflation and AI capex cut.

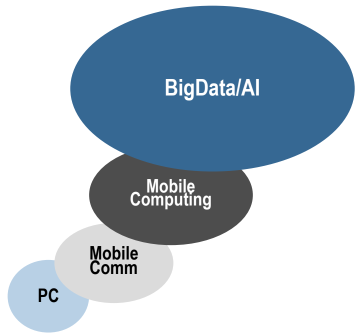
How we differ: We believe we are one of few brokers offering a detailed analysis of Marvell's impacts on its peers across the US and Asia.

Key stock calls

	New	Prev.
MediaTek (2454 TT)		
Rating	**Buy**	Buy
Target	**5,200.00**	4,088.00
Upside	▲ **39.2%**	
Broadcom (AVGO US)		
Rating	**Buy**	Buy
Target	**500**	500
Upside	▲ **40.2%**	

Source: Daiwa forecasts
Note: Target prices in local currency; prices as of close on 25 August 2026

Global IT industry: evolving trend



Source: Daiwa

Sector

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Let's talk about AI, ASIC competition this time

We see limited impact from Marvell's move in the AI ASIC market and…

Marvell (MRVL US, not rated) filed a *Form 8-K* on 19 August aimed to structure a deal with Google (GOOGL US,USD346.96, Buy [1]; covered by Satoshi Tanaka) for a potential AI business up to USD120bn spreading over 7 years. While this move has raised some investor concerns on share losses at Broadcom and MediaTek (MTK), we see limited impacts at least during our forecast horizon for 2 reasons: 1) we believe total addressable market (TAM) of the AI application specific IC (ASIC) will grow fast and big enough to accommodate multiple players, according to our detailed forecasts below; and 2) incumbents in the AI ASIC market are diversifying their customer bases from cloud service providers (CSP) to large enterprises across many vertical industries globally.

…flag Broadcom and MTK as our top picks in the global fabless space

In Daiwa's global fabless semiconductor coverage, our top picks go to Broadcom (AVGO US, USD356.74; rated Buy [1] with 12M TP of USD500) in the US, and MTK (2454 TT, TWD3,735; rated Buy [1] with 12M TP lifted to TWD5,200 from TWD4,088) in Asia, as we see the two as best positioned to capture the multi-year AI ASIC buildout cycle.

The deal

Marvell filed a Form 8-K on 19 August aimed to structure a deal with Google, in which the deal would allow Google to purchase AI-related products from Marvell, including custom accelerators for inference, networking interface controllers, memory interface controllers and near-memory compute, for up to USD120bn over 7 years. In return, Google would be warranted by Marvell for up to USD12bn worth of the latter's new common share issuance.

TAM big enough

We expect the AI ASIC market to exceed USD110bn in 2028E for a c.80% CAGR, fast and big enough to accommodate multiple players

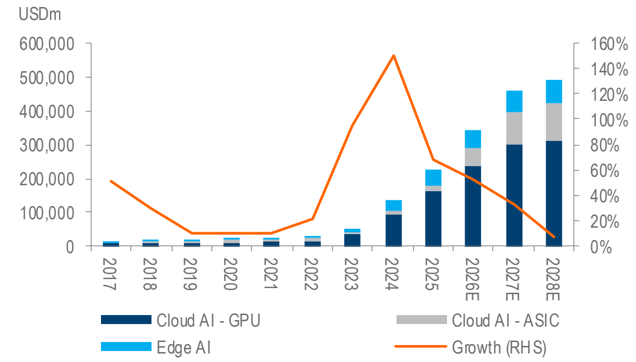
In our last series of AI thematic report *(Let's talk more about AI, ASIC AI this time*, 1 July 2025), we expected the ASIC market to outgrow GPU in revenue terms, as the compute architecture migrated from data training (generative AI) to inference (agentic AI). In this note, we further raise our global AI high-performance compute (HPC) market forecasts, driven by the stronger-than-expected AI ASIC demand. Specifically, as illustrated in charts on the next page, we now forecast the global AI HPC revenue to grow 53% YoY this year to USD345bn and approach USD500bn in 2028 for a 30% CAGR over 2025-28E. We forecast the AI ASIC TAM to grow c.1.6x YoY this year, exceeding USD50bn, and surpassing USD110bn in 2028 for a CAGR of c.80% over 2025-28, fast and big enough to accommodate multiple players. As for the AI GPU TAM, we forecast it to grow 48% YoY this year to exceed USD235bn and surpass USD300bn in 2028 for a c.25% CAGR over the same period, below the AI ASIC growth over 2025-28E but maintaining robust growth.

Implications to competition

Limited impact to Broadcom thanks to well-diversified customer base

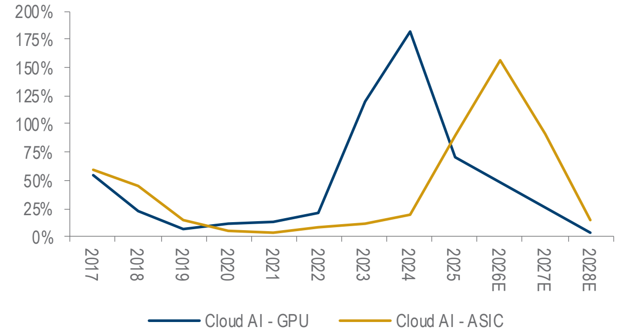
Implications to Broadcom. Marvell's action looks to have raised some investor concerns of taking share away from Broadcom, first in the AI networking market where the latter excels, followed by its compute business in the AI xPU market. While we share these concerns, Google is no longer Broadcom's sole AI customer. We estimate Google (including Anthropic) will account for c.45% of Broadcom's AI revenue this fiscal year (c.70% in FY25), with the rest from 2 other customers (see our mapping matrix chart on the next page). We expect Broadcom's customer base to diversify well into 6-7 clients in the next 1-2 years, helping reduce any single-customer risk.

Global AI HPC market forecasts*



Source: Daiwa estimates and forecasts
*Note: * Cloud AI includes GPU- and ASIC-configured AI servers, supercomputer accelerators, AIaaS, etc.; edge AI includes AI smartphones, AI PC, AI smart cars, AIoT, etc.*

Growth differentials between GPU and ASIC cycle



Source: Daiwa estimates and forecasts

Mapping matrix between CSP/DC operators and their ASIC/IP partners

Vendor/customer	Google	AWS/Annapurna	Microsoft	Meta	Intel/Habana	Oracle	OpenAI	xAI	Apple
Broadcom	TPU v1-4* TPU v5e/v5p (N5) TPU v6 Trillium (N5) TPU v7 Ghostfish (N3E) TPU 8t Sunfish (N3P) TPU 9t Pumafish (N2)		AI XPU (N3)	MTIA v1 (N7)** MTIA v2 (N5) MTIA 300 Iris (N3E) MTIA 400/450 (N2) MTIA 500 MSVP (N7)***		AI XPU (N3)	Capricorn 1 (N3) Capricorn 3 (N2/A16) Jalapeno (N3P)		Baltra AI ASIC (N3P)
Marvell	Maple CPU (N5) Axion 3 CPU (N3)	Trainium 2 (N5) Trainium 2.5 (N5) Trainium 3 Lite (N3) Trainium 4 ?	Maia 300 (I/O die) Maia 400				AI ASIC (N3) ? AI ASIC (A16) ?		
MTK	TPU 8i Zebrafish (N3E) TPU 9i Humufish (N2) TPU x Triggerfish (?) TPU x Icefish (?)			Arke ASIC (N2)					
Alchip		Inferentia (N7) Inferentia 2 (N7) Trainium (N7) Trainium 3 (N3) Trainium 4 (N2P) ?		Oculus ASIC ?	Gaudi 1 (N16) Gaudi 2 (N7) Gaudi 3 (N5) Gaudi 4 (N3)				
GUC	Axion 2 CPU (N3) Axion 3 CPU (N3)		Maia 100 (N5) Cobalt 100 (N5) Maia 200 (N3) Maia 300 (AP only)		Goya 1 (N16)			X1 (N3) ? X2 ?	
Andes				MTIA v1 (N7) MTIA v2 (N5)					

Source: Company, Daiwa
*Note: * TPU = tensor processing unit; ** MTIA = Meta training and inference accelerator; *** MSVP = Meta scalable video processor*

Limited impact to MTK given its latecomer status

Implications to MTK. Like Broadcom, similar concerns from the market could be raised against MTK, yet we see limited impacts at least during our forecast period since: 1) MTK is a latecomer in the Google AI ASIC supply chain, according to our market research, with the first project just about to ramp in commercial volume from 4Q26, which should run through its life cycle into 2028; and 2) we believe MTK has secured the second project from the same customer aimed to ramp from late-2027, which should run its course into 2029. Additionally, we believe MTK is further expanding its customer base to another hyperscale CSP, with the first project aimed to ramp in commercial volume from 2H28.

Recommendations

Broadcom in the US and MTK in Asia are our top picks under Daiwa's global fabless coverage

Under Daiwa's global fabless semiconductor coverage, our top picks are Broadcom in the US and MTK in Asia, as we believe the two are best positioned with scale, talent and engineering resources to secure more capacities across the supply chain than peers and capitalise on this fast-growing AI ASIC trend.

We rate Broadcom Buy (1) with our 12M TP of USD500, based on a target 26x PER on our FY27E EPS with key downside risk of possible weakness at key wireless customer, Apple.

We rate MTK Buy (1) with our revised 12M TP of TWD5,200 (previous: TWD4,088), based on our unchanged 4-quarter forward PER target of 36x but shifting our calculation base to one-year forward EPS with key downside risks of silicon inflation and geopolitical overhangs leading to global inflation and AI capex cut. Please see the company section of this report for more company-specific details.

Elsewhere for the chip designers in the Google AI supply chain under our coverage, we see limited impacts to Global Unichip (GUC; 3443 TT, TWD5,570, Buy [1]) because it focuses on the CPU business, not accelerators according to our market research (see our note, *Upgrading: unleashed capacity adding to growth*, 5 August). Key downside risks to our Positive sector call would be any "silicon inflation" and geopolitical overhangs (war, interest rate, FX) leading to global inflation and AI capex cut.

Daiwa Capital Markets Hong Kong Limited

MediaTek (2454 TT)

Target price: **TWD5,200.00** (from TWD4,088.00)

Share price (25 Aug): **TWD3,735.00** | Up/downside: **+39.2%**

5 4 3 2 **1**

Buy
(unchanged)

3Q26 preview: awaiting the upcoming AI ramp

- 3Q26 revenue run-rate intact, yet not so relevant now
- All eyes on AI ASIC, which looks to be progressing well
- Reiterating our Buy (1) rating with a higher 12M TP of TWD5,200

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What's new: As addressed in the main section, we see limited impact from the Marvell-Google deal to MediaTek's (MTK) AI business, given its latecomer status, good scale and engineering resources. Indeed, progress here looks to be better than expected, with intact ramps for the first CSP and likely earlier ramps for the second CSP. Accordingly, we further raise our 2028 forecasts, reiterating our Buy (1) call on the counter with a higher 12M TP. MTK is our top pick in Asia under our global fabless chipmaker coverage, well positioned to capture the multi-year AI ASIC cycle.

What's the impact: **3Q26 preview not so relevant…** MTK's monthly revenue run-rate looks intact, with its reported July figure of TWD48bn reaching 31% of our 3Q26 forecast (+4% QoQ, +12% YoY). Yet this progress appears irrelevant now since 3Q26 is in a transition where its mobile business (41% of 2Q26 revenue) is suffering from commodity price hikes weighing on consumer purchases, while its AI ASIC business is just about to ramp in commercial volume for USD2bn contribution in 4Q26. We expect MTK to report 3Q26E EPS of TWD15.6, not varying much from the Bloomberg consensus. But we forecast its 4Q26 EPS to reach TWD24.5, all-time high in history and beating the consensus by 10%, opening a new earnings chapter for MTK to enjoy the multi-year AI buildout cycle.

… focus on AI ramp and diversification. While we keep our 2026-27E EPS roughly unchanged for MTK on its intact AI ASIC ramps for the first 2 accelerator projects, we raise that for 2028E by 10% as we now expect its 3rd AI ASIC project for a new CSP to ramp from 2H28, 1 quarter ahead of our *previous expectation* on strength of the agentic AI migration. We understand MTK is further working with the first CSP customer on the third project, which may add to 2029 upside yet is not in our model considering the Marvell impacts longer term. We assume the AI ASIC projects to contribute USD15bn for MTK in 2027E and USD26bn in 2028E for 55% of total.

What we recommend: We raise our 12M TP for MTK to TWD5,200 (previous: TWD4,088), based on our unchanged 4-quarter forward PER target of 36x but shifting our calculation base to one-year forward EPS, which we see as more reasonably capturing MTK's AI ASIC contribution. We reaffirm our Buy (1) call with key downside risks of silicon inflation and geopolitical overhangs leading to global inflation and AI capex cut.

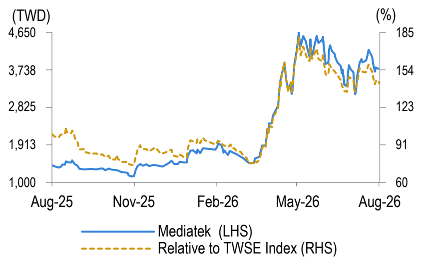
How we differ: Our 2026-27E EPS are 4-6% above the consensus forecasts likely on our higher assumptions of MTK's AI ASIC ramps.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	-	0.6	11.3
Net profit change	-	0.8	10.5
Core EPS (FD) change	-	0.8	10.5

Source: Daiwa forecasts

Share price performance



12-month range	1,145.00-4,640.00
Market cap (USDbn)	187.90
3m avg daily turnover (USDm)	1,438.56
Shares outstanding (m)	1,604
Major shareholder	Vanguard Group Inc (3.7%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	661,687	1,132,557	1,518,182
Operating profit (m)	112,100	254,601	324,893
Net profit (m)	112,860	231,392	295,613
Core EPS (fully-diluted)	70.366	144.269	184.309
EPS change (%)	7.2	105.0	27.8
Daiwa vs Cons. EPS (%)	3.5	5.6	(29.7)
PER (x)	53.1	25.9	20.3
Dividend yield (%)	1.4	1.6	2.7
DPS	54.0	60.0	100.0
PBR (x)	13.8	10.5	8.4
EV/EBITDA (x)	40.8	18.6	14.0
ROE (%)	27.0	46.0	46.1

Source: FactSet, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Smartphone chipset ASP (US$)	13.91	16.39	15.99	16.66	18.29	18.11	17.58	16.99
Smartphone chipset shipment ('000)	647	588	439	545	555	441	486	541
Total handset market share (%)	50.8	50.2	41.4	49.9	50.1	39.4	42.4	45.2

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Optical Storage Revenue	12,670	13,662	14,172	15,201	15,132	15,519	15,715	15,784
Digital Home Revenue	38,270	39,307	40,345	44,076	47,508	51,119	52,473	53,294
Other Revenue	442,475	495,827	378,929	471,309	533,326	595,048	1,064,369	1,449,104
Total Revenue	**493,415**	**548,796**	**433,446**	**530,586**	**595,966**	**661,687**	**1,132,557**	**1,518,182**
Other income	0	0	0	0	0	0	0	0
COGS	(261,810)	(277,892)	(226,079)	(267,200)	(312,886)	(355,627)	(617,536)	(844,386)
SG&A	(27,484)	(27,242)	(24,182)	(28,980)	(31,289)	(33,428)	(46,005)	(62,411)
Other op.expenses	(96,081)	(116,874)	(111,385)	(131,993)	(148,321)	(160,532)	(214,414)	(286,492)
Operating profit	**108,040**	**126,788**	**71,800**	**102,412**	**103,470**	**112,100**	**254,601**	**324,893**
Net-interest inc./(exp.)	1,458	2,847	6,908	10,696	10,167	10,600	13,560	18,860
Assoc/forex/extraord./others	17,354	5,925	8,074	6,410	11,251	8,461	6,000	6,500
Pre-tax profit	**126,852**	**135,561**	**86,783**	**119,519**	**124,888**	**131,161**	**274,161**	**350,253**
Tax	(14,980)	(16,936)	(9,591)	(12,378)	(18,770)	(17,427)	(41,124)	(52,538)
Min. int./pref. div./others	(451)	(484)	(212)	(754)	(799)	(874)	(1,645)	(2,102)
Net profit (reported)	**111,421**	**118,141**	**76,979**	**106,387**	**105,319**	**112,860**	**231,392**	**295,613**
Net profit (adjusted)	**111,421**	**118,141**	**76,979**	**106,387**	**105,319**	**112,860**	**231,392**	**295,613**
EPS (reported)(TWD)	**70.561**	**74.593**	**48.509**	**66.924**	**66.157**	**70.366**	**144.269**	**184.309**
EPS (adjusted)(TWD)	**70.561**	**74.593**	**48.509**	**66.924**	**66.157**	**70.366**	**144.269**	**184.309**
EPS (adjusted fully-diluted)(TWD)	**69.687**	**73.864**	**48.122**	**66.422**	**65.664**	**70.366**	**144.269**	**184.309**
DPS (TWD)	**37.101**	**73.330**	**76.238**	**55.075**	**54.066**	**54.000**	**60.000**	**100.000**
EBIT	**108,040**	**126,788**	**71,800**	**102,412**	**103,470**	**112,100**	**254,601**	**324,893**
EBITDA	**118,661**	**141,768**	**90,000**	**123,348**	**126,444**	**140,434**	**304,004**	**392,444**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	126,852	135,561	86,783	119,519	124,888	131,161	274,161	350,253
Depreciation and amortisation	10,621	14,980	18,200	20,936	22,974	28,334	49,403	67,551
Tax paid	(14,980)	(16,936)	(9,591)	(12,378)	(18,770)	(17,427)	(41,124)	(52,538)
Change in working capital	(53,649)	164	30,356	(1,001)	(19,508)	(4,500)	(95,000)	15,500
Other operational CF items	(21,750)	10,814	40,344	28,979	53,209	(874)	(1,645)	(2,102)
Cash flow from operations	**47,095**	**144,583**	**166,091**	**156,055**	**162,793**	**136,694**	**185,795**	**378,664**
Capex	(16,985)	(13,622)	(9,325)	(13,787)	(15,059)	(16,542)	(28,314)	(37,955)
Net (acquisitions)/disposals	2,170	(19,666)	(12,042)	(14,671)	(10,649)	0	0	0
Other investing CF items	(14,109)	(4,247)	(7,379)	(7,471)	(12,046)	0	0	0
Cash flow from investing	**(28,924)**	**(37,535)**	**(28,746)**	**(35,928)**	**(37,754)**	**(16,542)**	**(28,314)**	**(37,955)**
Change in debt	31,335	(48,575)	(2,328)	(1,260)	60	(3,368)	(1,684)	(842)
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(58,585)	(116,141)	(120,981)	(87,551)	(86,070)	(86,611)	(96,234)	(160,390)
Other financing CF items	(701)	8,435	4,740	(1,309)	(1,665)	0	0	0
Cash flow from financing	**(27,951)**	**(156,280)**	**(118,569)**	**(90,119)**	**(87,675)**	**(89,978)**	**(97,918)**	**(161,232)**
Forex effect/others	(3,094)	13,030	(883)	8,292	(5,770)	0	0	0
Change in cash	**(12,875)**	**(36,202)**	**17,894**	**38,300**	**31,594**	**30,174**	**59,563**	**179,478**
Free cash flow	30,109	130,961	156,767	142,268	147,734	120,152	157,481	340,710

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	204,764	164,810	180,673	219,624	247,709	277,883	337,446	516,924
Inventory	73,271	70,703	43,220	58,414	67,235	77,235	157,235	147,235
Accounts receivable	58,660	40,842	55,834	44,713	62,121	63,621	143,621	138,621
Other current assets	10,171	21,298	11,161	28,275	20,391	15,000	15,000	15,000
Total current assets	**346,865**	**297,654**	**290,889**	**351,025**	**397,456**	**433,738**	**653,302**	**817,779**
Fixed assets	49,111	53,862	53,291	56,917	60,427	49,337	38,129	22,043
Goodwill & intangibles	73,526	73,455	81,245	82,257	80,262	77,000	75,000	72,000
Other non-current assets	191,375	183,430	209,614	207,668	205,640	201,912	201,912	201,912
Total assets	**660,877**	**608,399**	**635,038**	**697,868**	**743,785**	**761,987**	**968,342**	**1,113,734**
Short-term debt	51,267	3,700	2,200	940	940	940	940	940
Accounts payable	96,748	74,028	130,541	151,181	156,525	165,710	230,710	231,210
Other current liabilities	63,091	63,843	99,258	114,782	145,885	123,368	126,684	130,842
Total current liabilities	**211,106**	**141,570**	**231,999**	**266,902**	**303,350**	**290,018**	**358,334**	**362,992**
Long-term debt	1,684	863	4,605	2,681	6,735	3,368	1,684	842
Other non-current liabilities	14,439	22,907	24,229	23,228	24,504	24,500	26,000	26,500
Total liabilities	**227,229**	**165,341**	**260,833**	**292,812**	**334,590**	**317,885**	**386,018**	**390,334**
Share capital	15,988	15,994	15,996	16,017	16,039	16,039	16,039	16,039
Reserves/R.E./others	416,027	424,115	352,209	380,610	384,562	418,595	555,173	694,147
Shareholders' equity	**432,015**	**440,109**	**368,206**	**396,627**	**400,601**	**434,634**	**571,212**	**710,186**
Minority interests	1,633	2,949	6,000	8,428	8,594	9,468	11,113	13,214
Total equity & liabilities	**660,877**	**608,399**	**635,038**	**697,868**	**743,785**	**761,987**	**968,342**	**1,113,734**
EV	5,840,386	5,833,269	5,822,698	5,782,992	5,759,127	5,726,459	5,666,857	5,488,639
Net debt/(cash)	**(151,813)**	**(160,246)**	**(173,868)**	**(216,002)**	**(240,034)**	**(273,575)**	**(334,822)**	**(515,142)**
BVPS (TWD)	**273.588**	**277.882**	**232.031**	**249.503**	**251.642**	**270.986**	**356.139**	**442.787**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	53.2	11.2	(21.0)	22.4	12.3	11.0	71.2	34.0
EBITDA (YoY)	123.4	19.5	(36.5)	37.1	2.5	11.1	116.5	29.1
Operating profit (YoY)	150.0	17.4	(43.4)	42.6	1.0	8.3	127.1	27.6
Net profit (YoY)	172.3	6.0	(34.8)	38.2	(1.0)	7.2	105.0	27.8
Core EPS (fully-diluted) (YoY)	170.8	6.0	(34.8)	38.0	(1.1)	7.2	105.0	27.8
Gross-profit margin	46.9	49.4	47.8	49.6	47.5	46.3	45.5	44.4
EBITDA margin	24.0	25.8	20.8	23.2	21.2	21.2	26.8	25.8
Operating-profit margin	21.9	23.1	16.6	19.3	17.4	16.9	22.5	21.4
Net profit margin	22.6	21.5	17.8	20.1	17.7	17.1	20.4	19.5
ROAE	27.7	27.1	19.0	27.8	26.4	27.0	46.0	46.1
ROAA	18.7	18.6	12.4	16.0	14.6	15.0	26.7	28.4
ROCE	24.4	27.1	17.3	25.9	25.1	25.9	49.3	49.6
ROIC	40.4	39.3	26.4	47.2	49.1	57.2	n.a	n.a
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	11.8	12.5	11.1	10.4	15.0	13.3	15.0	15.0
Accounts receivable (days)	34.0	33.1	40.7	34.6	32.7	34.7	33.4	33.9
Current ratio (x)	1.6	2.1	1.3	1.3	1.3	1.5	1.8	2.3
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	142.8	103.8	102.1	125.6	80.8	82.2	85.3	69.3
Free cash flow yield	0.5	2.2	2.6	2.4	2.5	2.0	2.6	5.7

Source: FactSet, Daiwa forecasts

Company profile

Ranked No.5 in the world by 2023 fabless semiconductor revenue, MediaTek (MTK) offers diverse products across optical storage, digital home, smartphone, PC, ASIC, automotive and other IoT applications. MTK has successfully captured the industry demand cycles from optical disk drives to feature phones to smartphones, and now positions itself well as a platform provider to capitalise on the next demand cycle of the BigData/AI to help facilitate digital transformation in human lives.

MTK: quarterly P&L forecasts

TWDm	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Total revenue	149,151	152,183	158,928	201,425	203,429	236,753	281,135	411,240	595,966	661,686	1,132,557	1,518,182
Total revenue (USDm)	**4,721**	**4,811**	**4,967**	**6,295**	**6,357**	**7,399**	**8,785**	**12,851**	**19,102**	**20,810**	**35,392**	**47,443**
COGS	-80,095	-81,875	-85,417	-108,239	-109,863	-128,895	-153,734	-225,044	-312,886	-355,627	-617,536	-844,386
Gross profit	69,055	70,308	73,511	93,186	93,566	107,858	127,401	186,196	283,080	306,060	515,021	673,796
Opex	-46,165	-47,439	-48,791	-51,565	-53,298	-58,005	-65,223	-83,893	-179,610	-193,960	-260,419	-348,903
Operating profit	22,891	22,868	24,720	41,621	40,268	49,853	62,177	102,303	103,470	112,100	254,601	324,893
EBITDA	28,892	29,709	31,553	50,280	49,057	60,165	74,476	120,306	126,444	140,434	304,004	392,444
Non-op gain/loss	4,129	5,094	4,900	4,938	4,680	4,840	4,940	5,100	21,418	19,061	19,560	25,360
Pretax profit	27,019	27,962	29,620	46,559	44,948	54,693	67,117	107,403	124,888	131,161	274,161	350,253
Income taxes & MI	-2,865	-3,627	-4,591	-7,217	-7,012	-8,532	-10,470	-16,755	-19,569	-18,300	-42,769	-54,639
Net profit	24,154	24,335	25,029	39,343	37,936	46,161	56,647	90,648	105,319	112,860	231,392	295,613
FD O/S (m)	1,604	1,604	1,604	1,604	1,604	1,604	1,604	1,604	1,604	1,604	1,604	1,604
FD EPS (TWD)	**15.06**	**15.17**	**15.61**	**24.53**	**23.65**	**28.78**	**35.32**	**56.52**	**65.66**	**70.37**	**144.27**	**184.31**
Margin												
Gross	46%	46%	46%	46%	46%	46%	45%	45%	47%	46%	45%	44%
Operating	15%	15%	16%	21%	20%	21%	22%	25%	17%	17%	22%	21%
EBITDA	19%	20%	20%	25%	24%	25%	26%	29%	21%	21%	27%	26%
Net	16%	16%	16%	20%	19%	19%	20%	22%	18%	17%	20%	19%
Revenue mix												
Mobile phone	50%	41%	40%	32%	31%	29%	28%	18%	55%	40%	25%	20%
Smart edge	45%	53%	54%	63%	64%	66%	68%	79%	40%	54%	71%	76%
Power IC	5%	6%	6%	5%	5%	5%	4%	3%	5%	6%	4%	4%
Growth (QoQ)												
Total revenue	-1%	2%	4%	27%	1%	16%	19%	46%				
Gross profit	0%	2%	5%	27%	0%	15%	18%	46%				
Operating profit	5%	0%	8%	68%	-3%	24%	25%	65%				
EBITDA	4%	3%	6%	59%	-2%	23%	24%	62%				
Net profit	5%	1%	3%	57%	-4%	22%	23%	60%				
FD EPS	5%	1%	3%	57%	-4%	22%	23%	60%				
Growth (YoY)												
Total revenue	-3%	1%	12%	34%	36%	56%	77%	104%	12%	11%	71%	34%
Gross profit	-6%	-5%	11%	35%	35%	53%	73%	100%	7%	8%	68%	31%
Operating profit	-24%	-22%	11%	90%	76%	118%	152%	146%	1%	8%	127%	28%
EBITDA	-19%	-15%	13%	82%	70%	103%	136%	139%	3%	11%	116%	29%
Net profit	-18%	-13%	-1%	72%	57%	90%	126%	130%	-1%	7%	105%	28%
FD EPS	-18%	-13%	-1%	72%	57%	90%	126%	130%	-1%	7%	105%	28%

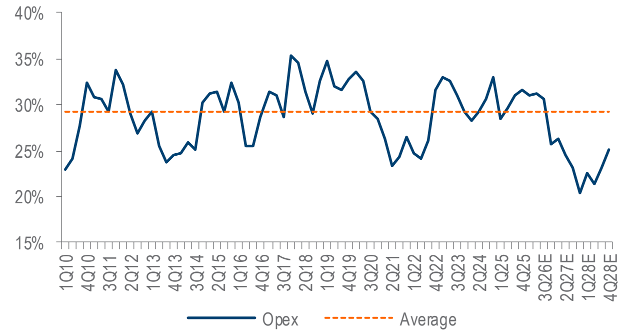
Source: Company, Daiwa forecasts

MTK: 3Q26 financial preview and 4Q26 preliminary outlook

	3Q26E			4Q26E		
TWDm	Daiwa	Consensus	Variance	Daiwa	Consensus	Variance
Revenue	158,928	156,406	2%	201,425	208,432	-3%
Gross profit	73,511	72,324	2%	93,186	93,271	0%
Operating profit	24,720	24,637	0%	41,621	36,792	13%
Pre-tax profit	29,620			46,559		
Net profit	25,029	24,976	0%	39,343	35,731	10%
Adjusted EPS (TWD)	15.61	15.57	0%	24.53	22.28	10%
Margins						
Gross	46.3%	46.2%		46.3%	44.7%	
Operating	15.6%	15.8%		20.7%	17.7%	
Net	15.7%	16.0%		19.5%	17.1%	
Revenue mix*						
Mobile phone	40%			32%		
Smart edge	54%			63%		
Power IC	6%			5%		

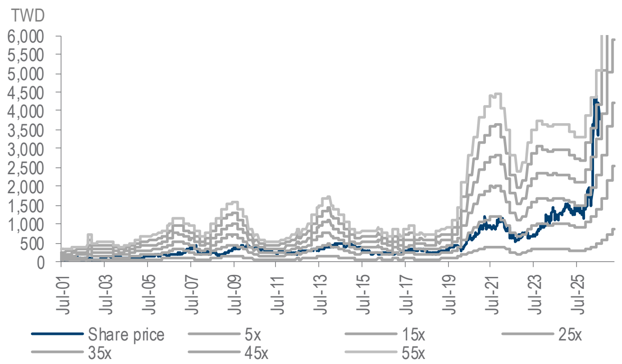
Source: Bloomberg, Daiwa forecasts
*Note: * Mobile phone includes smartphones and tablets, Smart edge includes IoT, computing & ASIC, digital TV/home, monitor & optical storage*

MTK: opex ratio trend



Source: Company, Daiwa forecasts

MTK: 4-quarter-forward PER band



Source: TEJ, Daiwa forecasts

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	MTK's Board of Directors (BoD) has 8 members with diverse backgrounds in foundry, IC design and electronics. Among its BoD, 4 members are independent directors, representing 50% of total directors. Its Chairman and CEO are not the same person, but its CEO is also one of the directors. MTK conducts internal annual performance evaluation of the BoD, individual directors and functional committees. The board currently includes only one female director out of eight members, which represents 12.5% of the total. The company recognizes this gender imbalance and is actively working toward a more inclusive and balanced board composition
G	Capital management	2	MTK's dividend payout ratios in the past 5 years were above 60% with increasing cash dividend in the past 3 years in dollar amount. In addition, MTK is committed to paying a special dividend of TWD16/share over 2021-24 on top of its regular annual dividend. MTK is one of the leading fabless chipmakers in the world with continued efforts in new product development for diversified applications; therefore, it will continue to invest in its research & development. We see its dividend payout as appropriate.
G	Related party & transaction	1	MTK's revenue from related parties was less than 1% of its total revenue in 2024 and transaction terms were not abnormal compared to other customers. It also had related-party transactions with King Yuan Electronics Co., Ltd. and King Long Tech (Suzhou) Ltd for IC testing, experimental services, and manufacturing technology services in 2021. The purchase amount from related parties was less than 7% of its total cost of goods sold/purchases in 2024. Thus, we do not see meaningful impact on its business operation.
S	Supply chain management	2	MTK has established its "Supplier Code of Conduct", which covers areas such as labour and human rights, health and safety, environmental protection, code of ethics, and management. It requires all suppliers to sign a guarantee to comply with this code of conduct. MTK implements an annual review to continuously track the actual compliance of suppliers. We believe these measures can help MTK reduce supply chain risk.
E	Water & wastewater management	1	As a fabless without manufacturing plants, MTK does not produce much wastewater compared to manufacturing companies, and thus has relatively limited impact on the environment. MTK has initiated water conservation methods, including efficient enhancement of using water-saving apparatuses, installing rainwater recycling tanks and using recycled water in cooling towers.
E	Waste & hazardous materials management	1	MTK prioritises waste reduction, classification for reuse, adherence to recycling, and reutilisation to manage waste efficiently and maximise the benefits of recycling. Also, it chooses only qualified partners for waste disposal and recycling, and also audits the waste processes regularly to ensure legal disposal of its waste and to fulfil its responsibility in waste management supervision.
E	GHG emissions	1	The main source for MTK's GHG emissions is externally purchased electricity, which accounts for over 90% of its total emissions. To enhance energy efficiency and reduce emissions, the company implemented several measures, including ongoing improvements to data center efficiency, full adoption of LED lighting in offices, and optimized operation of chiller units. MediaTek continued advancing its renewable energy strategy and alignment with global climate initiatives such as SBT and RE100. In early 2025, the Company passed the SBTi review and set targets based on a 2020 baseline, including a 40% reduction in Scope 1 and 2 emissions by 2030, net zero by 2050, and achieving 100% renewable energy use across global offices (excluding data centers) by 2030.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 4 Feb 2026

Source: Daiwa, Company

Broadcom (AVGO US)

Louis Miscioscia, CFA *(1) 212 612 6121 (louis.miscioscia@us.daiwacm.com)*
Daiwa Capital Markets America

Current rating : **1 (Buy)**
Share price (USD; 25 Aug): **356.74**

Marvell deal won't affect Broadcom for years, if at all

- AVGO revenue supported by six major customers through FY27
- Biggest ramps expected in 2H27, with supply being secured for FY28
- Customer outlook from Google, Anthropic, OpenAI, etc. remains solid

What's new: Broadcom shares have retreated following their 2Q26 (Apr) June 3 earnings call, especially from the June high of USD482. The latest news is that Google, a top Broadcom customer, has signed Marvell for similar work. Our report runs in parallel to Daiwa's Taiwan-based Sr. Semi analyst Rick Hsu. 1) We believe it will take years for a meaningful product to emerge, 2) it should not materially affect Broadcom's AI networking business, as most of that remains merchant, 3) Broadcom will continue to win new customers in this large and expanding market, and 4) we continue to view Broadcom as the leader in high-end, high-performance accelerators.

How we differ: We view the bigger issues for Broadcom shares as those we reviewed recently. That is: 1) no increase to the prior >USD100bn FY27 AI revenue guidance, 2) gross margins declining 300bp q/q, and 3) ongoing concerns about competition from MediaTek in Google's business and now Marvell.

As for the no-raise decision, when we look at the FY27 revenue trajectory, we expect it to skew to the 2H. The company announced >10GW of wins. Depending on the mix, each GW could bring in USD10-20bn of revenue. What largely determines the range is how much networking is included. At times, networking has been 40% of the AI mix. On the prior earnings call, CEO Hock Tan said that networking should move to c.30%. Part of this is that Google and Anthropic, using Google TPU chips, will require significantly less networking as Google designs more of these capabilities internally. XPU chips are power-hungry, and deploying them at scale will consume the majority of available data centre GWs. Thus, 1H27 AI revenue growth could be more muted when measured on an AI revenue-per-GW basis. Add to that, Broadcom does require firm bookings, but those bookings could still shift depending on data centre availability for each customer. We all know that space and power can be constrained at times and do not always ramp exactly as planned.

Since we believe the AI build-out phase is still in its early innings, this is an opportunity to buy on the dip. Beyond its strong customer positioning, custom chips should continue to see strong growth, benefiting the entire ecosystem.

Customer view:
Google, est. rev >USD10bn and signed a new long-term agreement.
Anthropic, 1GW in FY26, ramping into FY27 and FY28, c.3GW for FY27 est.
OpenAI, ramp in FY26, but mostly 1.3GW in FY27, scaling to 10GW through FY29.
Meta, multi-GW deployment through FY28, currently ramping in FY26. Every GW is worth roughly USD10-20bn.
Apple, in July signed a new >USD30bn custom silicon and connectivity agreement, not related to AI data centres.

What we recommend: We continue to believe that Broadcom is one of the strongest semi-AI plays across both custom XPUs and networking. We remain confident that the company can deliver stronger growth over time. We have a 1/Buy rating and 12M TP of USD500, based on a target 26x PER on our FY27E EPS. Key downside risk: possible weakness at key Wireless customer, Apple.** **For details, please refer to our June 18, 2026 report,** "Broadcom (AVGO): Once Again, the Dip Is a Buying Opportunity."

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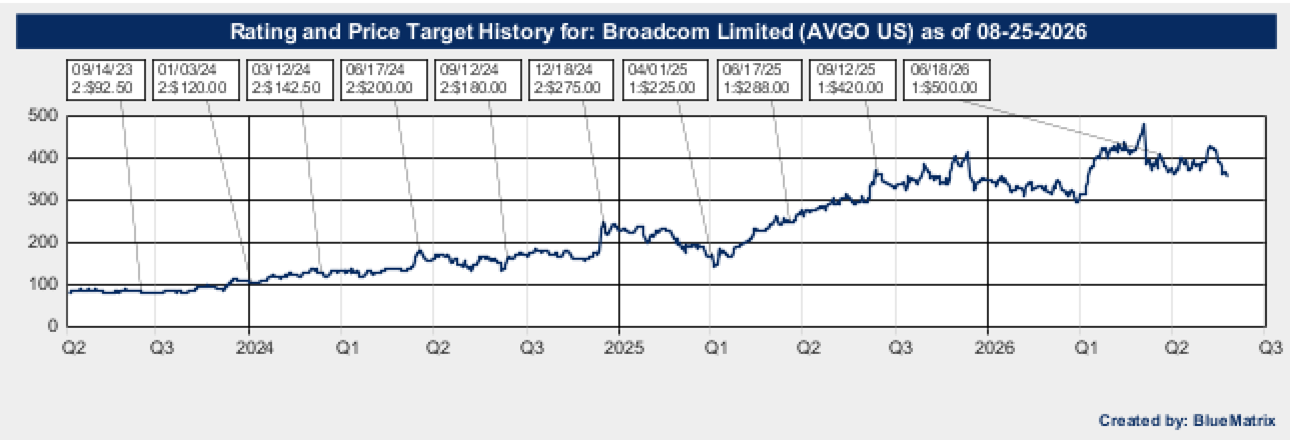

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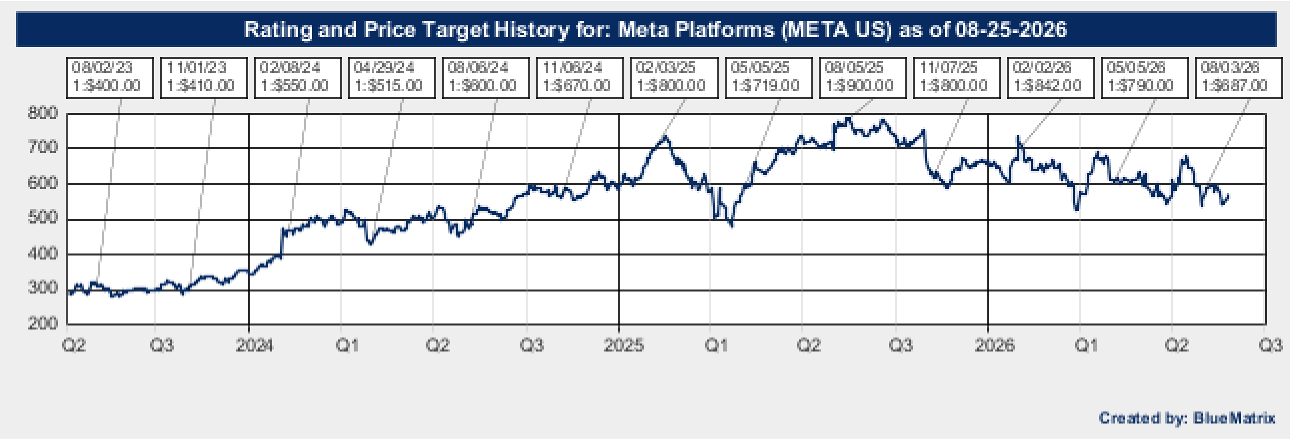

[Apple Inc (AAPL US)](#)

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Distribution of Ratings/IB Services Firmwide
DAIWA

			IB Serv./Past 12 Mos.	
Rating	**Count**	**Percent**	**Count**	**Percent**
BUY[1/2]	**71**	**63.96%**	**1**	**1.41%**
HOLD[3]	**40**	**36.04%**	**0**	**0.00%**
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[DCMA Distribution of Ratings/IB Services Chart](#)

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